

reasonably detailed exposition of one such exercise in stock selection. Ours is a double purpose. Many of our readers may find a substantial practical value in the method we shall follow, or it may suggest comparable methods to try out. Beyond that what we shall do may help them to come to grips with the real world of common stocks, and introduce them to one of the most fascinating and valuable little volumes in existence. It is Standard & Poor's *Stock Guide*, published monthly, and made available to the general public under annual subscription. In addition many brokerage firms distribute the *Guide* to their clients (on request.)

The great bulk of the *Guide* is given over to about 230 pages of condensed statistical information on the stocks of more than 4,500 companies. These include all the issues listed on the various exchanges, say 3,000, plus some 1,500 unlisted issues. Most of the items needed for a first and even a second look at a given company appear in this compendium. (From our viewpoint the important missing datum is the net-asset-value, or book value, per share, which can be found in the larger Standard & Poor's volumes and elsewhere.)

The investor who likes to play around with corporate figures will find himself in clover with the *Stock Guide*. He can open to any page and see before his eyes a condensed panorama of the splendors and miseries of the stock market, with all-time high and low prices going as far back as 1936, when available. He will find companies that have multiplied their price 2,000 times from the minuscule low to the majestic high. (For prestigious IBM the growth was “only” 333 times in that period.) He will find (not so exceptionally) a company whose shares advanced from 3/8 to 68, and then fell back to 3.² In the dividend record column he will find one that goes back to 1791—paid by Industrial National Bank of Rhode Island (which recently saw fit to change its ancient corporate name).^{*} If he looks at the *Guide* for the year-end 1969 he will read that Penn Central Co. (as successor to Pennsylvania Railroad) has been paying dividends steadily since 1848; alas!, it was doomed to bankruptcy a few months later. He will find a company selling at only 2 times its last reported earnings, and another selling at 99 times such earnings.³ In most cases he will find it difficult to tell the line of business from the corporate name; for one U.S. Steel there will be three called such things as ITI Corp. (bakery stuff) or Santa Fe Industries (mainly the large railroad). He can feast on an extraordinary variety of price histories, dividend and earnings histories,